

Morrisons aims to regain its market share. The two options the management are considering are either to cut prices further, or to improve its overall customer experience. (e) Evaluate these two options and recommend which option might be preferred by Morrisons' shareholders. (20)

Extract A

Morrisons' mission statement

We like to think there's more to Morrisons than just numbers. We're proud to be a business that still believes in values: human, ethical, and ecological.

Fresh attitudes and firm principles help make us what we are. Plenty of companies write mission statements, but at Morrisons the words mean something. We're one team all sharing the same vision, committed to pulling together, whilst respecting the differences that make each person different and special.

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(Source: adapted from <http://www.morrisonsgraduates.com/why-morrisons/our-values>)

Extract B

Selected information from Morrisons' 2015 Annual Report

	2015 (£m)	2014 (£m)
Current assets: Inventory (stock)	658	852
Debtors	239	316
Cash	241	261
Total current assets	1138	1429
Total current liabilities	2273	2873
Pre-tax profit	217	792

(Source: adapted from http://www.morrisons-corporate.com/ar2015/pdf/Morrisons_AR_2014_Financial_statements.pdf)

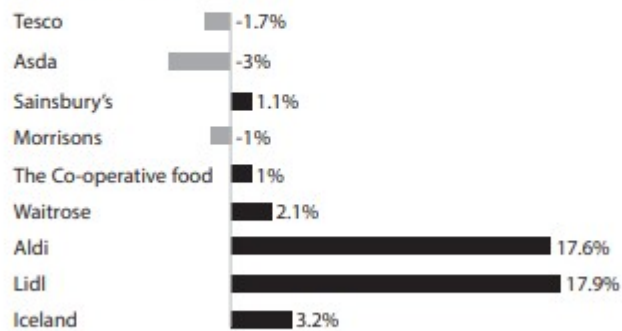
Extract C

Supermarket market share in 2015

Supermarket	Market share %
Tesco	28.5
Asda	16.2
Sainsbury's	16.1
Morrisons	11.0
The Co-operative food	5.9
Waitrose	5.2
Lidl	4.3
Aldi	5.6
Iceland	2.2
Others	5.0

(Source: adapted from <http://www.kantarworldpanel.com/en/grocery-market-share/great-britain>)

Changes in supermarket market share in 2015



(Source: adapted from <http://www.cityam.com/226919/trouble-for-the-big-four-as-aldi-and-lidl-growth-speeds-up-again->)

Extract D

Morrisons' improved performance

Morrisons' revenue and share price have increased for the first time in almost four years, as new boss David Potts shared his vision for turning around the struggling supermarket. Since his appointment, he has replaced several of Morrisons' directors and sold off 140 of its convenience stores.

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Morrisons suffered from declining sales as a fall in consumer incomes meant that shoppers moved their spending to the discounters, such as Aldi and Lidl. David Potts responded to this by cutting prices with the 'I'm cheaper' campaign.

Consumer research reveals that whilst cheap prices have an influence on supermarket choice, the overall customer experience, such as range and quality of products, store layout and service, all play a part.

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Changes in society, such as an ageing population and more single person households, have resulted in customers making more frequent grocery trips. Furthermore, consumer confidence has improved recently due to continued low interest rates and falling energy prices.

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(Sources: adapted from <http://www.telegraph.co.uk/finance/newsbysector/retailandconsumer/11708744/Morrisons-grows-market-share-for-first-time-since-2011.html> and <http://www.morrisons-corporate.com/ar2015>)

Indicative content	Mark
Knowledge 2, Application 2, Analysis 4, Evaluation 4 Indicative content A takeover is where one business buys a majority shareholding in another business and obtains full management control Potential financial risks: • Initial cost of £16.5m which could rise to £21m. This is a significant amount which could be lost if the takeover is not successful • Opportunity cost – could the £21m be better spent on developing new soft drinks or increased marketing? • Lack of expertise – this is a new market for AG Barr and carries greater risk and uncertainty, which could negatively affect profitability Potential financial rewards: • Diversification into new markets. AG Barr would no longer be reliant on the soft drinks market for its sales revenue and profits • Entering a new market. The cocktail mixer market is growing and AG Barr can sell its products to another market segment, providing the opportunity for increased sales and profits • Potential economies of scale. AG Barr can use its existing distribution network and production facilities. This could lead to reduced unit costs <i>Potential judgement</i> • The financial rewards could be greater as the takeover provides the opportunity for AG Barr to diversify into a growing market • The financial risks could be greater as AG Barr is entering a new market and due to their lack of expertise, could potentially fail with the loss of at least £21m	(12)